D. Income Taxes

The components of income taxes are as follows:

For each year ended December 31, (Dollars in thousands)	2009	2008
Provision (benefit) for income taxes:		
Currently payable:		
Federal	**$ 1,331**	$ 419
State	**792**	38
Deferred:		
Federal	**(237)**	917
State	**(31)**	2
	$ 1,855	$ 1,376
Deferred tax provision (benefit):		
Deferred compensation	**$ 40**	$ 39
Inventory capitalization	**(159)**	53
Environmental costs	**(11)**	776
Minimum pension adjustment	**(130)**	36
Postretirement benefits	**(86)**	(58)
Federal NOL carryforwards	**-**	-
State NOL carryforwards	**17**	2
AMT credit carryforwards	**-**	-
Other items	**45**	(113)
Valuation allowance	**16**	184
	$ (268)	$ 919
A reconciliation of the Company's effective income tax rate is as follows:		
Statutory federal income tax rate	**34.0%**	34.0%
State income taxes, net of federal tax benefit	**5.3**	5.4
State tax adjustments	**13.0**	-
Valuation allowance	**.4**	.8
Other items, net	**(1.6)**	(.5)
Effective income tax rate	**51.1%**	39.7%
Components of the net deferred tax asset:		
Deferred tax assets:		
Accounts receivable reserves	**$ 1,034**	$ 961
Deferred compensation	**-**	40
Inventory capitalization	**727**	568
Postretirement benefits	**2,082**	1,996
Inventory reserves	**144**	264
Workman's compensation	**9**	9
State NOL carryforwards	**314**	331
Environmental costs	**(183)**	(194)
Minimum pension adjustment	**232**	102
Other	**181**	212
Gross deferred asset	**4,540**	4,289
Deferred tax liabilities:		
Depreciation	**44**	11
Valuation allowance	**(200)**	(184)
Net deferred tax asset	**$ 4,384**	$ 4,116

In accordance with the criteria established in ASC 740-10 (formerly Statement of Financial Accounting Standards No. 109), “Income Taxes”, we regularly assess the status of our valuation allowance, if any, based upon a number of factors including future reversals of existing taxable temporary differences which would enable us to offset gross deferred tax assets against gross deferred tax liabilities; the availability of taxable income in carry-back prior years (if carry-back is permitted under the tax law); tax planning strategies; and projections of future taxable income exclusive of reversing temporary differences and carry-forwards. As a result of our evaluations at December 31, 2009 and 2008, we recorded valuation allowances of $200,000 and $184,000, respectively, against our deferred tax assets in conn ection with certain state net operating loss carryforwards which are not expected to be fully realized.

The state income tax adjustment in 2009 reflects differences between amounts previously recognized for financial reporting purposes and amounts reported on certain of our state tax returns for years prior to 2009. The effect of the adjustment was immaterial to all periods presented. At December 31, 2009, we have remaining state net operating loss carryforwards of approximately $3,924,000 which expire through 2010. These loss carryforwards are available to reduce state taxable income, if any. These loss carryforwards are subject to review and possible adjustment by the appropriate taxing authorities. As described above, at December 31, 2009 we recorded a valuation allowance of $200,000 against our deferred tax asset in connection with certain of these state carryforwards.

We adopted the provisions of ASC 740-10 (formerly FASB Interpretation No. 48), “Income Taxes”, on January 1, 2007. ASC 740-10 clarifies the accounting for uncertainty in income taxes recognized in an enterprise’s financial statements and prescribes a two-step process to determine the amount of tax benefit to recognize. First, the tax position must be evaluated to determine the likelihood that it will be sustained upon examination by a tax authority. If the tax position is deemed “more-likely-than-not” to be sustained, the tax position is then assessed to determine the amount of benefit to recognize in the financial statements. The amount of the benefit that may be recognized is the largest amount that has a greater than 50 percent likelihood of being realized upon ultimate settlement. If the tax position does not meet the “more-likely-than-not” threshold then it is not recognized in the financial statements. In accordance with ASC 740-10, we have elected to accrue interest and penalties, if any, related to unrecognized tax benefits as a component of income tax expense. Upon adoption on January 1, 2007 and as of December 31, 2009, we had no unrecognized tax benefits recorded. We do not anticipate that it is reasonably possible that unrecognized tax benefits as of December 31, 2009 will significantly change within the next 12 months.